

████████████████████
Trading as ██████████ Medical

Unaudited financial statements
for the financial year ended 31 October 2020
Company registration number: ██████████



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[REDACTED]

Directors and other information

Directors

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

resigned on 30 September 2020

appointed 30 September 2020

appointed 30 September 2020

Secretary

[REDACTED]

Company number

[REDACTED]

Registered office

[REDACTED]
[REDACTED]
[REDACTED]
Co. [REDACTED]

Business address

[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]

[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]

[REDACTED]
[REDACTED]
[REDACTED]

Directors report

The directors present their annual report and the unaudited financial statements of the company for the financial year ended 31 October 2020.

Directors

The names of the persons who at any time during the financial year were directors of the company are as follows:

[REDACTED]	
[REDACTED]	resigned on 30 September 2020
[REDACTED]	
[REDACTED]	appointed on 30 September 2020
[REDACTED]	appointed on 30 September 2020

Principal activities

The principal activity of the company is the manufacture of bespoke, custom-designed specialist equipment on behalf of its customers and it also completes outsourced contract manufacturing services for Tier 1 Medtech Original Equipment Manufacturers. The Company has a strong pedigree within the orthopaedic implant market segment providing high quality Class [I, II, III] orthopaedic implants and instruments.

Financial Performance

During 2020 the company was awarded a number of multi-year high-value contracts with blue-chip customers. These contracts will not commence until late in 2021. In September 2020, [REDACTED] in the company to support the ongoing growth momentum in the business. The investment was by way of equity and loan notes.

In 2020 like all businesses the company was affected by the COVID-19 pandemic with a number of its Key Customers closing for a number of weeks resulting in revenue for the year ended 31st October 2020 being well below the forecasted figures. The company however managed to control costs and with the help of government subsidies in the early months of the pandemic it maintained all its staff and remained profitable. The company continues to have a healthy financial position and a strong balance sheet.

Principal risks and uncertainties

The company needs to closely monitor the impact of any customer closures the COVID-19 pandemic may have on its revenue stream on into the 2021 and 2022 financial year. The company operates in the medical device sector so ongoing quality and maintenance of standards is crucial to its continued success. The company must continually be aware of its competitors, changes in trends and products with its existing customers as well as developing strategies to identify new markets to continue to grow the business

Dividends

During the financial year the directors have not paid any dividends or recommended payment of a final dividend.

Events after the end of the reporting period

The directors are not aware of any events occurring between 31 October 2020 and the date on which the financial statements were signed which materially affect the financial statements or require to be disclosed.

Research and development

The company is actively involved in the research and development of new products for the medical sector.

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Directors report (continued)

Directors and secretary and their interests

The directors and secretary at the financial year end and their interests in shares in the company were as follows:

		At 31/10/20	At 01/11/19
		Number	Number
Directors:			
██████████		20,050	45,100
██████████	resigned on 30 September 2020	20,050	35,100
██████████		60,150	20,050
██████████	appointed on 30 September 2020	5,646	-
██████████	appointed on 30 September 2020	-	-
Company secretary:			
██████████		20,050	45,100

On the 30th September the company's shares were re-designated into Ordinary shares, A Ordinary shares and B Ordinary shares. The Authorised Share capital was removed and the company adopted a new Constitution.

Accounting records

The measures taken by the directors to secure compliance with the requirements of sections 281 to 285 of the Companies Act 2014 with regard to the keeping of accounting records are the implementation of necessary policies and procedures for recording transactions, the employment of competent accounting personnel with appropriate expertise and the provision of adequate resources to the financial function. The accounting records of the company are located at business address Enterprise Centre, ██████████ Co ██████████

This report was approved by the board of directors on and signed on behalf of the board by:

██████████
Director

██████████
Director

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Directors responsibilities statement

The directors are responsible for preparing the directors report and the financial statements in accordance with applicable Irish law and regulations.

Irish company law requires the directors to prepare financial statements for each financial year. Under the law, the directors have elected to prepare the financial statements in accordance with the Companies Act 2014 and FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" issued by the Financial Reporting Council. Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities and financial position of the company as at the financial year end date and of the profit or loss of the company for the financial year and otherwise comply with the Companies Act 2014.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgments and accounting estimates that are reasonable and prudent;
- state whether the financial statements have been prepared in accordance with applicable accounting standards, identify those standards, and note the effect and the reasons for any material departure from those standards; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for ensuring that the company keeps or causes to be kept adequate accounting records which correctly explain and record the transactions of the company, enable at any time the assets, liabilities, financial position and profit or loss of the company to be determined with reasonable accuracy, enable them to ensure that the financial statements and directors report comply with the Companies Act 2014. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

This report was approved by the board of directors on and signed on behalf of the board by:

■■■■
Director

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Director

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**Accountants' Report to the board of directors
on the Unaudited financial statements of ■■■■ ■■■■ ■■■■ ■■■■**

In accordance with the engagement letter dated 1 January 2019, and in order to assist you to fulfil your duties under the Companies Act 2014, we have compiled the financial statements which comprise the Profit and Loss Account, Balance Sheet, statement of changes in equity and related notes from the accounting records and information and explanations you have given to us.

This report is made to the company's board of directors, as a body, in accordance with the terms of our engagement. Our work has been undertaken so that we might compile the financial statements that we have been engaged to compile, report to the company's board of directors that we have done so, and state those matters that we have agreed to state to them in this report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's board of directors for our work or for this report.

We have carried out this engagement in accordance with guidance issued by the Institute of Chartered Accountants in Ireland and have complied with the ethical guidance laid down by the Institute relating to members undertaking the compilation of financial statements.

You have acknowledged on the Balance Sheet for the financial year ended 31 October 2020 your duty under the Companies Act 2014 to ensure that the company has kept adequate accounting records and prepared financial statements which give a true and fair view of the assets, liabilities and financial position of the company at the end of its financial year and of its profit or loss for that financial year, and otherwise comply with the provisions of Companies Act 2014 relating to financial statements so far as they are applicable to the company. You consider that the company is exempt from the statutory requirement for an audit for the financial year.

We have not been instructed to carry out an audit of the financial statements. For this reason, we have not verified the accuracy or completeness of the accounting records or information and explanations you have given to us and we do not, therefore, express any opinion on the financial statements.

■■■■ ■■■■ Ltd
Statutory Auditors and Accountants

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Profit and loss account
Financial year ended 31 October 2020

	Note	2020 €	2019 €
Turnover		3,310,587	3,601,707
Cost of sales		(645,315)	(940,659)
Gross profit		2,665,272	2,661,048
Administrative expenses		(2,410,727)	(2,339,945)
Operating profit		254,545	321,103
Other interest receivable and similar income		116	673
Interest payable and similar expenses		(81,070)	(14,428)
Profit before taxation		173,591	307,348
Tax on profit		(21,761)	(23,180)
Profit for the financial year		<u>151,830</u>	<u>284,168</u>

The Profit for the year was transferred to the Balance sheet, profit and loss account.

The company has no other recognised items of income and expenses other than the results for the financial year as set out above.

The notes on pages 10 to 20 form part of these financial statements.

Balance sheet
As at 31 October 2020

	Note	2020 €	€	2019 €	€
Fixed assets					
Tangible assets	7	8,731,977		3,607,969	
			8,731,977		3,607,969
Current assets					
Stocks	8	547,859		382,266	
Debtors	9	848,801		846,996	
Cash at bank and in hand		1,780,978		755,053	
		3,177,638		1,984,315	
Creditors: amounts falling due within one year	10	(945,808)		(512,890)	
Net current assets		2,231,830		1,471,425	
Total assets less current liabilities		10,963,807		5,079,394	
Creditors: amounts falling due after more than one year	11	(4,309,524)		(368,456)	
Provisions for liabilities	13	(161,335)		(155,690)	
Net assets		6,492,948		4,555,248	
Capital and reserves					
Called up share capital presented as equity	16	1,875		1,253	
Share premium account		1,785,248		-	
Other undenominated capital		124,247		124,247	
Capital conversion reserve fund		1,978		1,978	
Profit and loss account		4,579,600		4,427,770	
Shareholders funds		6,492,948		4,555,248	

These financial statements have been prepared in accordance with the provisions applicable to companies subject to the small companies' regime and in accordance with Section 1A of FRS 102 Financial Reporting Standard applicable in the UK and Republic of Ireland'.

The notes on pages 10 to 20 form part of these financial statements.

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Balance sheet (continued)
As at 31 October 2020

We, as directors of ■■■■ state that:

- the company is availing itself of the exemption provided for by Chapter 15 of Part 6 of the Companies Act 2014;
- the company is availing itself of the exemption on the grounds that the conditions specified in section 358 of the Companies Act 2014 are satisfied;
- the shareholders of the company have not served a notice on the company under section 334(1) of the Companies Act 2014 in accordance with section 334(2); and
- We acknowledge the company's obligations under the Companies Act 2014, to keep adequate accounting records and prepare financial statements which give a true and fair view of the assets, liabilities and financial position of the company at the end of its financial year and of its profit or loss for such a financial year and to otherwise comply with the provisions of Companies Act 2014 relating to financial statements so far as they are applicable to the company.

These financial statements were approved by the board of directors on and signed on behalf of the board by:

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Director

■■■■

Director

The notes on pages 10 to 20 form part of these financial statements.

Statement of changes in equity
Financial year ended 31 October 2020

	Called up share capital	Share premium account	Other undenomina ted capital	Capital conversion reserve fund	Profit and loss account	Total
	€	€	€	€	€	€
At 1 November 2018	1,253	-	124,247	1,978	4,143,602	4,271,080
Profit for the financial year					284,168	284,168
Total comprehensive income for the financial year	-	-	-	-	284,168	284,168
At 31 October 2019 and 1 November 2019	1,253	-	124,247	1,978	4,427,770	4,555,248
Profit for the financial year					151,830	151,830
Total comprehensive income for the financial year	-	-	-	-	151,830	151,830
Issue of shares	622	1,785,248				1,785,870
Total investments by and distributions to owners	622	1,785,248	-	-	-	1,785,870
At 31 October 2020	1,875	1,785,248	124,247	1,978	4,579,600	6,492,948

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Notes to the financial statements
Financial year ended 31 October 2020

1. General information

The company is a private company ██████████ by shares, registered in Ireland. The address of the registered office is ██████████ ██████████ ██████████ ██████████ ██████████ ██████████ Co. ██████████

2. Statement of compliance

These financial statements have been prepared in compliance with FRS 102 Section 1A, 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. The Triennial review 2017 amendments to the standard have been early adopted.

3. Accounting policies and measurement bases

Basis of preparation

The financial statements have been prepared on the historical cost basis, as modified by the revaluation of certain financial assets and liabilities and investment properties measured at fair value through profit or loss.

The financial statements are prepared in Euro, which is the functional currency of the entity.

Going concern

After reviewing the Company's forecasts and projections, the directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. The Company therefore continues to adopt the going concern basis in preparing its financial statements.

Turnover

Turnover is measured at the fair value of the consideration received or receivable for goods supplied and services rendered, net of discounts and Value Added Tax.

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership have transferred to the buyer, usually on despatch of the goods; the amount of revenue can be measured reliably; it is probable that the associated economic benefits will flow to the entity and the costs incurred or to be incurred in respect of the transactions can be measured reliably.

Notes to the financial statements (continued)
Financial year ended 31 October 2020

Taxation

The taxation expense represents the aggregate amount of current and deferred tax recognised in the reporting period. Tax is recognised in the statement of comprehensive income, except to the extent that it relates to items recognised in other comprehensive income or directly in capital and reserves. In this case, tax is recognised in other comprehensive income or directly in capital and reserves, respectively.

Current tax is recognised on taxable profit for the current and past periods. Current tax is measured at the amounts of tax expected to pay or recover using the tax rates and laws that have been enacted or substantively enacted at the reporting date.

Deferred tax is recognised in respect of all timing differences at the reporting date. Unrelieved tax losses and other deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Deferred tax is measured using the tax rates and laws that have been enacted or substantively enacted by the reporting date that are expected to apply to the reversal of the timing difference.

Operating leases

Lease payments are recognised as an expense over the lease term on a straight-line basis. The aggregate benefit of lease incentives is recognised as a reduction to expense over the lease term, on a straight-line basis.

Tangible assets

Tangible assets are initially recorded at cost, and are subsequently stated at cost less any accumulated depreciation and impairment losses.

Any tangible assets carried at revalued amounts are recorded at the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

An increase in the carrying amount of an asset as a result of a revaluation, is recognised in other comprehensive income and accumulated in capital and reserves, except to the extent it reverses a revaluation decrease of the same asset previously recognised in profit or loss. A decrease in the carrying amount of an asset as a result of revaluation is recognised in other comprehensive income to the extent of any previously recognised revaluation increase accumulated in capital and reserves in respect of that asset. Where a revaluation decrease exceeds the accumulated revaluation gains accumulated in capital and reserves in respect of that asset, the excess shall be recognised in profit or loss.

Depreciation

Depreciation is calculated so as to write off the cost or valuation of an asset, less its residual value, over the useful economic life of that asset as follows:

Freehold property	- 2%	straight line
Plant and machinery	- 10%	reducing balance
Fittings fixtures and equipment	- 15%	reducing balance
Motor vehicles	- 20%	reducing balance

If there is an indication that there has been a significant change in depreciation rate, useful life or residual value of tangible assets, the depreciation is revised prospectively to reflect the new estimates.

Notes to the financial statements (continued)
Financial year ended 31 October 2020

Impairment

A review for indicators of impairment is carried out at each reporting date, with the recoverable amount being estimated where such indicators exist. Where the carrying value exceeds the recoverable amount, the asset is impaired accordingly. Prior impairments are also reviewed for possible reversal at each reporting date.

When it is not possible to estimate the recoverable amount of an individual asset, an estimate is made of the recoverable amount of the cash-generating unit to which the asset belongs. The cash-generating unit is the smallest identifiable group of assets that includes the asset and generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

Stocks

Stocks are measured at the lower of cost and estimated selling price less costs to complete and sell. Cost includes all costs of purchase, costs of conversion and other costs incurred in bringing the stocks to their present location and condition.

Hire purchase and finance leases

Assets held under finance leases are recognised in the balance sheet as assets and liabilities at the lower of the fair value of the assets and the present value of the minimum lease payments, which is determined at the inception of the lease term. Any initial direct costs of the lease are added to the amount recognised as an asset.

Lease payments are apportioned between the finance charges and reduction of the outstanding lease liability using the effective interest method. Finance charges are allocated to each period so as to produce a constant rate of interest on the remaining balance of the liability.

Government grants

Government grants are recognised at the fair value of the asset received or receivable. Grants are not recognised until there is reasonable assurance that the company will comply with the conditions attaching to them and the grants will be received.

Government grants are recognised using the accrual model and the performance model.

Under the accrual model, government grants relating to revenue are recognised on a systematic basis over the periods in which the company recognises the related costs for which the grant is intended to compensate. Grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the entity with no future related costs are recognised in income in the period in which it becomes receivable.

Grants relating to assets are recognised in income on a systematic basis over the expected useful life of the asset. Where part of a grant relating to an asset is deferred, it is recognised as deferred income and not deducted from the carrying amount of the asset.

Under the performance model, where the grant does not impose specified future performance-related conditions on the recipient, it is recognised in income when the grant proceeds are received or receivable. Where the grant does impose specified future performance-related conditions on the recipient, it is recognised in income only when the performance-related conditions have been met. Where grants received are prior to satisfying the revenue recognition criteria, they are recognised as a liability.

Notes to the financial statements (continued)
Financial year ended 31 October 2020

Provisions

Provisions are recognised when the entity has an obligation at the reporting date as a result of a past event; it is probable that the entity will be required to transfer economic benefits in settlement and the amount of the obligation can be estimated reliably. Provisions are recognised as a liability in the Balance Sheet and the amount of the provision as an expense.

Provisions are initially measured at the best estimate of the amount required to settle the obligation at the reporting date and subsequently reviewed at each reporting date and adjusted to reflect the current best estimate of the amount that would be required to settle the obligation. Any adjustments to the amounts previously recognised are recognised in profit or loss unless the provision was originally recognised as part of the cost of an asset. When a provision is measured at the present value of the amount expected to be required to settle the obligation, the unwinding of the discount is recognised in finance costs in profit or loss in the period it arises.

Financial instruments

A financial asset or a financial liability is recognised only when the company becomes a party to the contractual provisions of the instrument.

Basic financial instruments are initially recognised at the transaction price, unless the arrangement constitutes a financing transaction, where it is recognised at the present value of the future payments discounted at a market rate of interest for a similar debt instrument.

Debt instruments are subsequently measured at amortised cost.

Where investments in non-convertible preference shares and non-puttable ordinary shares or preference shares are publicly traded or their fair value can otherwise be measured reliably, the investment is subsequently measured at fair value with changes in fair value recognised in profit or loss. All other such investments are subsequently measured at cost less impairment.

Other financial instruments, including derivatives, are initially recognised at fair value, unless payment for an asset is deferred beyond normal business terms or financed at a rate of interest that is not a market rate, in which case the asset is measured at the present value of the future payments discounted at a market rate of interest for a similar debt instrument.

Other financial instruments are subsequently measured at fair value, with any changes recognised in profit or loss, with the exception of hedging instruments in a designated hedging relationship.

Financial assets that are measured at cost or amortised cost are reviewed for objective evidence of impairment at the end of each reporting date. If there is objective evidence of impairment, an impairment loss is recognised in profit or loss immediately.

For all equity instruments regardless of significance, and other financial assets that are individually significant, these are assessed individually for impairment. Other financial assets are either assessed individually or grouped on the basis of similar credit risk characteristics.

Any reversals of impairment are recognised in profit or loss immediately, to the extent that the reversal does not result in a carrying amount of the financial asset that exceeds what the carrying amount would have been had the impairment not previously been recognised.

Notes to the financial statements (continued)
Financial year ended 31 October 2020

Defined contribution plans

Contributions to defined contribution plans are recognised as an expense in the period in which the related service is provided. Prepaid contributions are recognised as an asset to the extent that the prepayment will lead to a reduction in future payments or a cash refund.

When contributions are not expected to be settled wholly within 12 months of the end of the reporting date in which the employees render the related service, the liability is measured on a discounted present value basis. The unwinding of the discount is recognised in finance costs in profit or loss in the period in which it arises.

Share-based payments

Equity-settled share-based payment transactions are measured at fair value at the date of grant. The fair value is expensed on a straight-line basis over the vesting period, with a corresponding increase in equity. This is based upon the company's estimate of the shares or share options that will eventually vest which takes into account all vesting conditions and non-market performance conditions, with adjustments being made where new information indicates the number of shares or share options expected to vest differs from previous estimates.

Fair value is determined using an appropriate pricing model. All market conditions and non-vesting conditions are taken into account when estimating the fair value of the shares or share options. As long as all other vesting conditions are satisfied, no adjustment is made irrespective of whether market or non-vesting conditions are met.

Where the terms of an equity-settled transaction are modified, an expense is recognised as if the terms had not been modified. In addition, an expense is recognised for any increase in the fair value of the transaction, as measured at the date of modification.

Where an equity-settled transaction is cancelled or settled, it is treated as if it had vested on the date of cancellation or settlement, and any expense not yet recognised in profit or loss is expensed immediately.

Cash-settled share-based payment transactions are measured at the fair value of the liability. Until the liability is settled, the fair value of the liability is re-measured at each reporting date and at the date of settlement, with any changes in fair value recognised in profit or loss for the period.

4. Staff costs

The average number of persons employed by the company during the financial year, including the directors was 40 (2019: 40).

The aggregate payroll costs incurred during the financial year were:

	2020	2019
	€	€
Wages and salaries	1,179,839	1,518,886
Social insurance costs	95,685	137,771
Other retirement benefit costs	78,597	96,382
	<u>1,354,121</u>	<u>1,753,039</u>

Notes to the financial statements (continued)
Financial year ended 31 October 2020

5. Directors remuneration

The directors aggregate remuneration was as follows:

	2020	2019
	€	€
Emoluments in respect of qualifying services (incl. notional BIK's)	237,543	293,347
Pension contributions to defined contribution plans in respect of qualifying services	36,222	42,222
	<u>273,765</u>	<u>335,569</u>

A further amount not included above of €3,333 has also been accrued in the accounts in relation to services provided by Non - Executive directors in the year ended 31st October 2020.

The number of directors who accrued benefits under company pension plans was as follows:

	2020	2019
	Number	Number
Defined contribution plan	<u>2</u>	<u>2</u>

6. Appropriations of profit and loss account

	2020	2019
	€	€
At the start of the financial year	4,427,770	4,143,602
Profit for the financial year	151,830	284,168
At the end of the financial year	<u>4,579,600</u>	<u>4,427,770</u>

The company incurred one - off exceptional deal costs of €400,200 in relation to the BGF Investment on the 30th September 2020, these expenses are included within Administration expenses on the Profit and loss account.

Notes to the financial statements (continued)
Financial year ended 31 October 2020

7. Tangible assets

	Freehold property	Plant and machinery	Fixtures, fittings and equipment	Motor vehicles	Manufacturing Building CIP	Total
	€	€	€	€	€	€
Cost						
At 1 November 2019	1,201,315	5,362,301	250,742	48,096	99,296	6,961,750
Additions	4,200	5,037,428	30,734	-	367,145	5,439,507
At 31 October 2020	<u>1,205,515</u>	<u>10,399,729</u>	<u>281,476</u>	<u>48,096</u>	<u>466,441</u>	<u>12,401,257</u>
Depreciation						
At 1 November 2019	325,848	2,857,206	158,638	12,089	-	3,353,781
Charge for the financial year	19,855	280,017	8,425	7,202	-	315,499
At 31 October 2020	<u>345,703</u>	<u>3,137,223</u>	<u>167,063</u>	<u>19,291</u>	<u>-</u>	<u>3,669,280</u>
Carrying amount						
At 31 October 2020	<u>859,812</u>	<u>7,262,506</u>	<u>114,413</u>	<u>28,805</u>	<u>466,441</u>	<u>8,731,977</u>
At 31 October 2019	<u>875,467</u>	<u>2,505,095</u>	<u>92,104</u>	<u>36,007</u>	<u>99,296</u>	<u>3,607,969</u>

8. Stocks

	2020	2019
	€	€
Raw materials and consumables	319,535	200,224
Work in progress	188,074	182,042
Finished goods and goods for resale	40,250	-
	<u>547,859</u>	<u>382,266</u>

The directors consider that the replacement cost of stocks would not materially differ from the amount stated in the balance sheet.

Notes to the financial statements (continued)
Financial year ended 31 October 2020

9. Debtors

	2020	2019
	€	€
Trade debtors	652,525	421,470
Other debtors	169,651	407,318
Prepayments	26,625	18,208
	<u>848,801</u>	<u>846,996</u>

The debtors above include the following amounts falling due after more than one year:

	2020	2019
	€	€
Other debtors	<u>10,874</u>	<u>40,401</u>

10. Creditors: amounts falling due within one year

	2020	2019
	€	€
Amounts owed to credit institutions	-	35,000
Trade creditors	637,090	293,769
Other creditors including tax and social insurance	243,617	179,670
Accruals	65,101	4,451
	<u>945,808</u>	<u>512,890</u>

11. Creditors: amounts falling due after more than one year

	2020	2019
	€	€
Amounts owed to credit institutions	-	15,963
Other creditors including tax and social insurance	361,202	352,493
Other loans	3,948,322	-
	<u>4,309,524</u>	<u>368,456</u>

The Governor and Company of the Bank of Ireland hold a debenture over the company's property assets and goodwill and a charge over the company's land, premises and manufacturing contract dated 10th January 2020 made between [REDACTED] Ltd and [REDACTED] Company.

Notes to the financial statements (continued)
Financial year ended 31 October 2020

12. Obligations under finance leases

The total future minimum lease payments under finance lease agreements are as follows:

	2020	2019
	€	€
Not later than 1 year	175,776	141,589
Later than 1 year and not later than 5 years	361,202	352,493
	<u>536,978</u>	<u>494,082</u>

13. Provisions

	2020	2019
	€	€
Deferred tax	<u>161,335</u>	<u>155,690</u>

14. Deferred tax

The deferred tax included in the Balance Sheet is as follows:

	2020	2019
	€	€
Included in provisions (note 13)	<u>161,335</u>	<u>155,690</u>

The deferred tax account consists of the tax effect of timing differences in respect of:

	2020	2019
	€	€
Accelerated capital allowances	<u>161,335</u>	<u>155,690</u>

15. Government grants

	2020	2019
	€	€
At the start of the financial year	-	5,624
Grants received or receivable	260,014	403,419
Released to profit or loss	<u>(260,014)</u>	<u>(409,043)</u>
At the end of the financial year	<u>-</u>	<u>-</u>

The company also received an amount of €216,967 in relation to the COVID Temporary Wage Subsidy during the 2020 accounts year and this amount was paid directly to employees via the payroll under the rules of the scheme.

A contingent liability arises from a fixed asset grant received from [REDACTED] the 31st December 2025 the amount of which is €88,125 as at 31st Oct 2020.

Notes to the financial statements (continued)
Financial year ended 31 October 2020

16. Share capital

Issued, called up and fully paid

	2020		2019	
	Number	€	Number	€
Amounts presented in equity:				
Ordinary shares of €0.0125 each	102,896	1,286	100,250	1,253
Ordinary A shares of €0.0125 each	44,098	551	-	-
Ordinary B shares of €0.0125 each	3,000	38	-	-
	<u>149,994</u>	<u>1,875</u>	<u>100,250</u>	<u>1,253</u>

17. Events after the end of the reporting period

The directors are not aware of any events occurring between 31 October 2020 and the date on which the financial statements were signed which materially affect the financial statements or require to be disclosed.

18. Directors transactions

Loan to director

Name of director or other person	2020		2019	
	€		€	
At the start of the financial year	208,716		192,598	
Advances made during the financial year	-		16,118	
Amounts repaid during the financial year	(208,716)		-	
At the end of the financial year	<u>-</u>		<u>208,716</u>	

The loan to [REDACTED] was repaid in full in the year ended 31st Oct 2020.

Value of arrangements expressed as a percentage of net assets was as follows:

	2020	2019
	%	%
At the start of the financial year	4.58	4.50
At the end of the financial year	<u>-</u>	<u>4.58</u>

Name of director or other person	2020		2019	
	€		€	
Maximum amount outstanding	<u>-</u>		<u>208,716</u>	

Notes to the financial statements (continued)
Financial year ended 31 October 2020

19. Related party transactions

During the financial year the company entered into the following transactions with related parties:

	Transaction value		Balance owed by/(owed to)	
	2020	2019	2020	2019
	€	€	€	€
Loan to director	-	16,118	-	208,716
	<u> </u>	<u> </u>	<u> </u>	<u> </u>

The loan to director   was fully repaid to the company in the current year.

20. Controlling party

The company is controlled by      and  

21. Approval of financial statements

The board of directors approved these financial statements for issue on .

■■■■

The following pages do not form part of the statutory accounts.

Detailed profit and loss account
Financial year ended 31 October 2020

	2020	2019
	€	€
Turnover		
Sales	3,310,587	3,601,707
	<u>3,310,587</u>	<u>3,601,707</u>
Cost of sales		
Opening stock	382,265	297,327
Materials	428,142	622,409
Outwork	104,908	94,494
Consumables	260,417	295,987
Carriage inwards	17,442	12,708
	<u>(1,193,174)</u>	<u>(1,322,925)</u>
Closing stock	547,859	382,266
	<u>645,315</u>	<u>940,659</u>
Gross profit	<u>2,665,272</u>	<u>2,661,048</u>
Gross profit percentage	80.5%	73.9%
Overheads		
Administrative expenses		
Wages and salaries	836,060	1,030,769
R& D wages	134,631	235,602
Directors remuneration	209,148	252,515
Employer's PRSI contributions	95,685	137,771
Directors pension costs - defined contribution	36,222	42,222
Staff pension costs - defined contribution	42,375	54,160
Staff training	14,715	21,051
Training Grants	(86,138)	(24,592)
Employment/Consultancy/Trade Fair Grants	(119,527)	(150,673)
R& D repayable credits	(34,408)	(120,601)
R & D EI Grant	(19,941)	-
Agency staff	-	5,250
Recruitment fees	5,282	-
Rates	2,319	4,832
Insurance	48,735	42,123
Operating lease payments - office equipment	1,988	2,733
Depuy Line	16,778	-
Light and heat	63,402	61,453
Repairs and maintenance	108,049	151,398
Groundwork repairs	-	54,997
Printing, postage and stationery	14,110	18,187
Advertising	10,623	18,622
Telephone	6,358	10,525
Computer costs	22,654	18,511

Detailed profit and loss account (continued)
Financial year ended 31 October 2020

	2020	2019
	€	€
Motor and travel expenses	79,710	109,320
Design and Consultancy fees	95,385	64,478
Accountancy fees	60,350	25,799
Bank charges	3,948	1,326
Non-Executive costs	3,333	-
Management fees	4,167	-
General expenses	39,015	40,792
Amortisation of Capital Grants	-	(113,177)
Exceptional Deal costs	400,200	-
Depreciation of tangible assets	315,499	339,657
Gain/loss on disposal of tangible assets	-	4,895
	<u>(2,410,727)</u>	<u>(2,339,945)</u>
Operating profit	254,545	321,103
Operating profit percentage	7.7%	8.9%
Other interest receivable and similar income	116	673
Interest payable and similar charges	<u>(81,070)</u>	<u>(14,428)</u>
Profit before taxation	<u><u>173,591</u></u>	<u><u>307,348</u></u>